



Finance Case Research Club
Team Camelot



CVC's exit opportunities for Good Choice

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Table of Contents

I. Industry Overview

1. Overview of the Online Travel Agency Market
2. Competitive Landscape

II. Company Overview

1. Company Snapshot
2. Business Overview
3. Overview of CVC's Exit Plan

III. Investment Highlights

1. Direct Beneficiary of Favorable Industry Dynamics
2. Multiple Drivers and Opportunities for Robust Growth
3. Compelling Financial Profile

I. Industry Overview

1. Overview of the Online Travel Agency Market
2. Competitive Landscape

Overview of the Online Travel Agency Market

Domestic online travel agency market is on a recovery trajectory after COVID-19 with 4 year CAGR of 7.4%, and 4 parties are mainly participating in the market

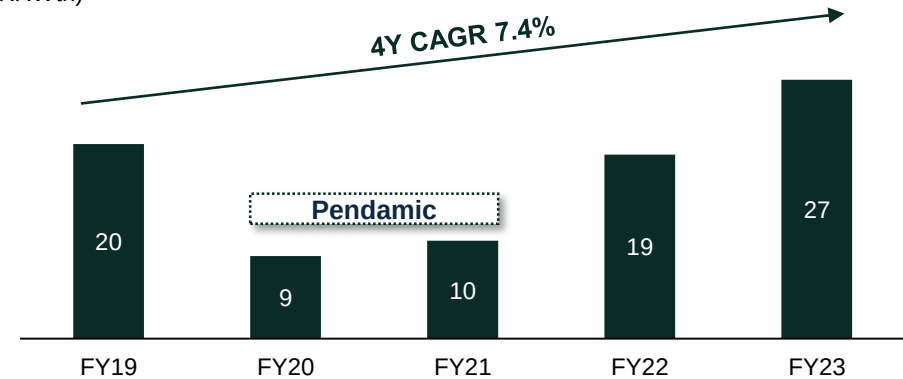
Online travel agency(OTA) overview



- 1 • Consumers can conveniently make a reservation of fragmented accommodations and earn useful data of them
- 2 • OTA can receive commission fee from travel service providers by mediating the transactions or by advertising their products
• OTA can directly purchase room and sell it to customers

Domestic online travel & leisure market⁽¹⁾

(KRWtn)



Key players in the domestic online travel agency market

Domestic OTAs

여기어디.
yanolja
Myrealtrip

- Domestic OTAs which do not have offline agencies and provide travel packages solely online

Traditional domestic TAs

하나투어
모두투어
노랑풍선
YELLOW BALLOON

- Domestic TAs which have actively been operated via offline agencies
- Recently started converting to online channels

Global OTAs

BOOKING HOLDINGS Booking.com agoda Hotels Combined
expedia group Expedia Hotels.com trivago

- Global OTAs offer travel packages online and dominate the global market
- Expanded their scale by actively acquiring other competitive OTAs

Startups

Tripbtoz
STAY FOLIO
daytrip

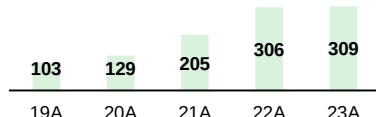
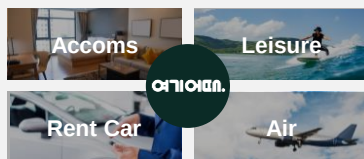
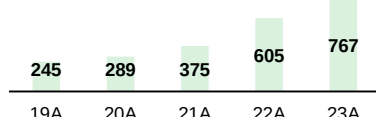
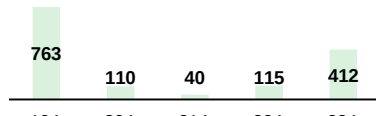
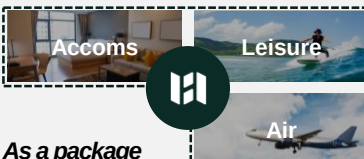
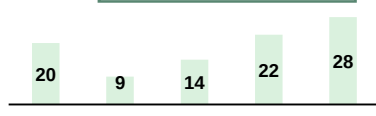
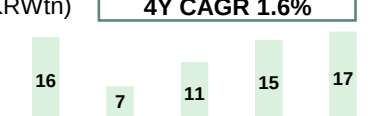
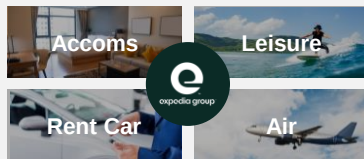
- Startups offering designed-in-detail products
- Target niche markets

Source: KOSIS

Note: (1) Measured by Gross Merchandise Volume

Competitive Landscape

The online travel agency market involves various domestic players; Good Choice demonstrates its growth potential based on its solid market position and high revenue growth rate

Company	Revenue ⁽¹⁾	Platform Coverage	MAU ⁽²⁾	Notes												
 Good Choice	(KRWbn) 4Y CAGR 31.7% <table><tr><th></th><th>19A</th><th>20A</th><th>21A</th><th>22A</th><th>23A</th></tr><tr><td>Revenue</td><td>103</td><td>129</td><td>205</td><td>306</td><td>309</td></tr></table>		19A	20A	21A	22A	23A	Revenue	103	129	205	306	309		 3.7 million	• One of the top OTA in the domestic market • Demonstrated its growth while maintaining profitability
	19A	20A	21A	22A	23A											
Revenue	103	129	205	306	309											
 Youth	(KRWbn) 4Y CAGR 33.0% <table><tr><th></th><th>19A</th><th>20A</th><th>21A</th><th>22A</th><th>23A</th></tr><tr><td>Revenue</td><td>245</td><td>289</td><td>375</td><td>605</td><td>767</td></tr></table>		19A	20A	21A	22A	23A	Revenue	245	289	375	605	767		 3.9 million	• One of the top OTA in the domestic market • Also provides hospitality property management software
	19A	20A	21A	22A	23A											
Revenue	245	289	375	605	767											
 Hanatour	(KRWbn) 4Y CAGR (14.3%) <table><tr><th></th><th>19A</th><th>20A</th><th>21A</th><th>22A</th><th>23A</th></tr><tr><td>Revenue</td><td>763</td><td>110</td><td>40</td><td>115</td><td>412</td></tr></table>		19A	20A	21A	22A	23A	Revenue	763	110	40	115	412		 0.5 million	• Top traditional TAs in the domestic market • The most successful traditional TA in online channel
	19A	20A	21A	22A	23A											
Revenue	763	110	40	115	412											
 Booking Holdings	(KRWtn) 4Y CAGR 9.1% <table><tr><th></th><th>19A</th><th>20A</th><th>21A</th><th>22A</th><th>23A</th></tr><tr><td>Revenue</td><td>20</td><td>9</td><td>14</td><td>22</td><td>28</td></tr></table>		19A	20A	21A	22A	23A	Revenue	20	9	14	22	28		 agoda 1.87 million	• The top OTA company in the global market • Dominates the European and North American market
	19A	20A	21A	22A	23A											
Revenue	20	9	14	22	28											
 Expedia Group	(KRWtn) 4Y CAGR 1.6% <table><tr><th></th><th>19A</th><th>20A</th><th>21A</th><th>22A</th><th>23A</th></tr><tr><td>Revenue</td><td>16</td><td>7</td><td>11</td><td>15</td><td>17</td></tr></table>		19A	20A	21A	22A	23A	Revenue	16	7	11	15	17		n/a	• Second largest OTA company in the global market • Particularly popular in North America
	19A	20A	21A	22A	23A											
Revenue	16	7	11	15	17											

Source: Company filings, DART, Market Intelligence, Press Release

Note: (1) Exchanged USD to KRW based on currency rate of 1,310 KRW/USD; (2) As of June 2024, except for Hanatour, which is of July 2024

II. Company Overview

1. Company Snapshot
2. Business Overview
3. Overview of CVC's Exit Plan

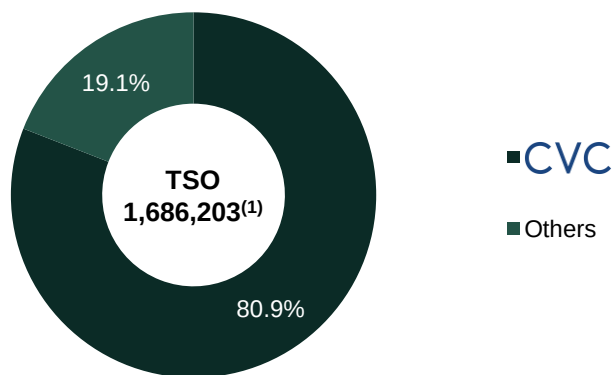
Company Snapshot

Good choice (or “the Company”) is an online travel agency with a strong domestic presence, which provides accommodation reservation service along with various travel-related services

Company profile

- Established in 2015 and headquartered in Seoul, South Korea, Good Choice is a leading accommodation reservation service provider in the domestic market
- The company focuses on providing accommodations within Korea and in nearby countries such as Japan, Vietnam, and Hong Kong
- Good Choice primarily started with accommodation bookings, but expanded its offerings including tickets for airline and leisure activities
- The company acquired 100% stake in Mangoplate in 2020, a restaurant recommendation platform, but decided to cease its operation in 2023
- The company acquired 20% stake in Onlinetour in 2021, which operates a flight booking site

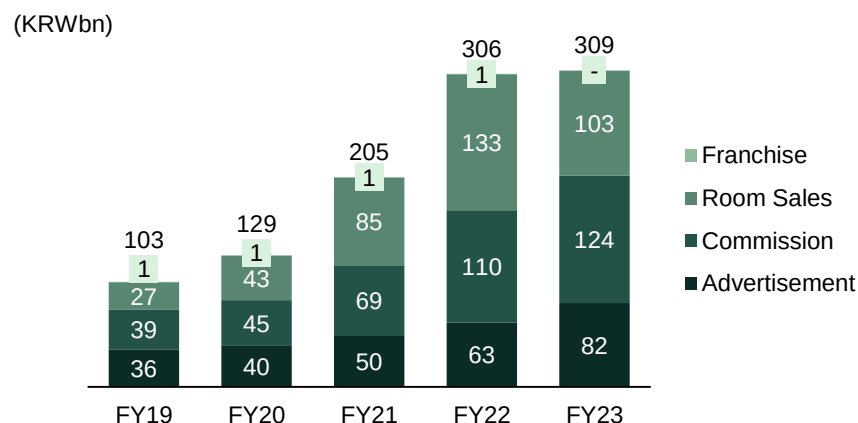
Shareholding structure



Key financials

(KRWmn)	FY19	FY20	FY21	FY22	FY23
Revenue	102,704	128,719	204,913	305,879	309,182
YoY(%)	49.7%	25.3%	59.2%	49.3%	1.1%
EBITDA	7,920	12,519	17,868	32,827	49,065
Margin(%)	7.7%	9.7%	8.7%	10.7%	15.9%
EBIT	7,205	11,484	15,491	30,061	46,409
Margin(%)	7.0%	8.9%	7.6%	9.8%	15.0%
Net Income	4,551	9,092	12,343	23,172	36,413
Margin(%)	4.4%	7.1%	6.0%	7.6%	11.8%
Total Assets	52,703	62,784	116,673	191,491	170,173
Total Liabilities	58,333	28,810	62,124	88,573	127,541
Net Debt	(5,663)	(32,622)	(61,434)	(128,414)	(98,168)

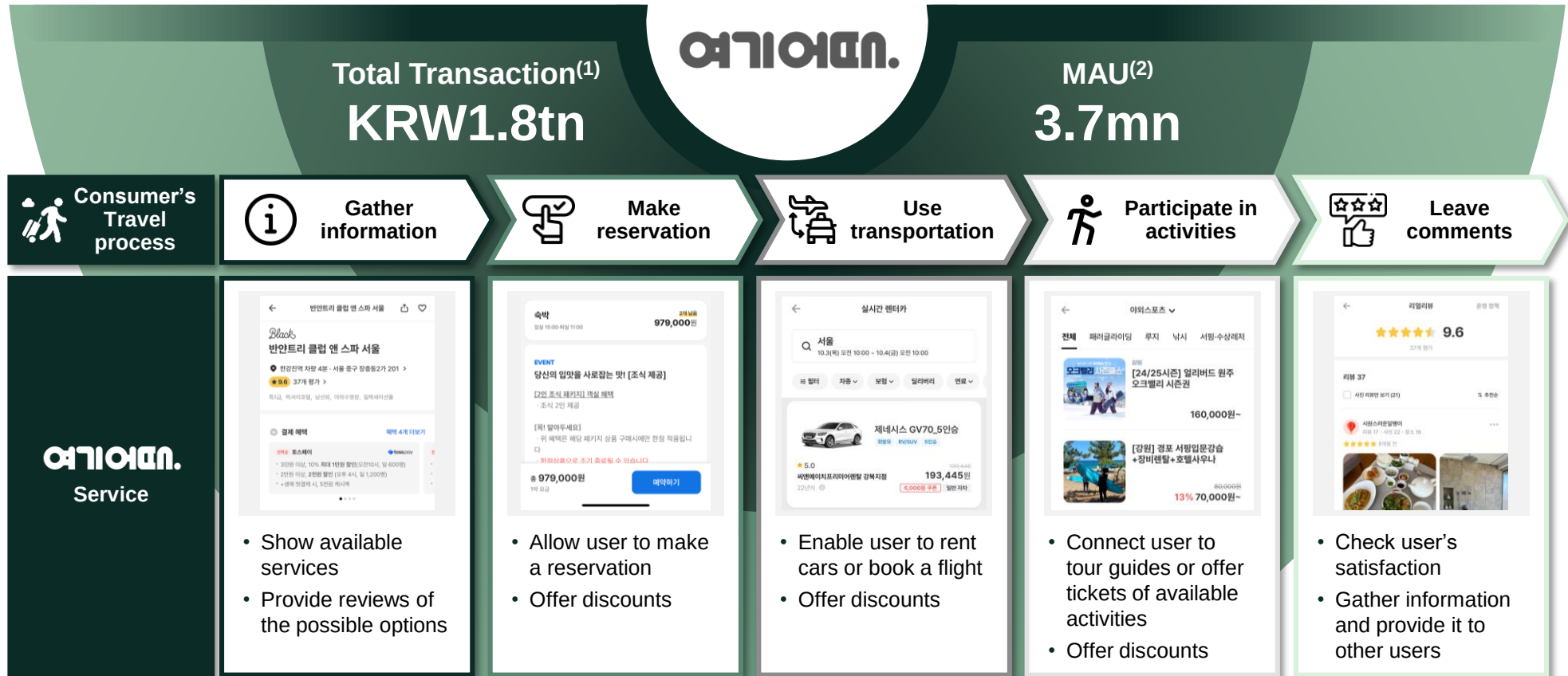
Revenue breakdown



Business Overview

Good Choice has been horizontally expanding its business to provide integrated services covering the overall travel process; therefore becoming an all-in-one travel platform

Good Choice's horizontal business coverage



- ✓ Good Choice has become an all-in-one travel platform; therefore benefiting from economics of scale and locking-in the consumers
- ✓ Good Choice is leveraging its portfolio to solidify market position in the outbound travel market; especially concentrating on nearby countries

Overview of CVC's Exit Plan

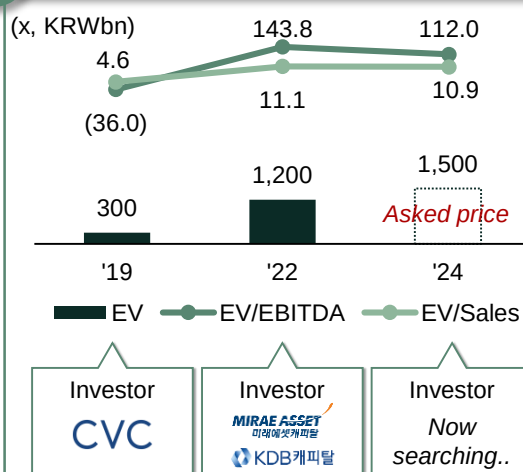
CVC capital is currently proposing KRW1.5tn as Good Choice's value; CVC capital can exit either by IPO, M&A, or both combined

Investment Overview

1 Acquisition timeline

- '19.09
 - CVC capital acquired 76% stake in Good Choice
 - Valued at KRW300bn
- '22.12
 - Expanded controlling stake to 80.5% via additional investment

2 Historical valuation & Implied multiples



IPO

Option 1: IPO without lock-up

- 1 Sell shares to FI or SI**
 - Sell portion of the stake CVC owns, and change the majority shareholder
- 2 Sell shares via pre-IPO / secondary offering**
 - Sell some of the shares via Pre-IPO / Secondary offering
 - Reduces burden during the listing review
- 3 Exit by disposing of the remaining stocks**
 - Dispose of the remaining stocks by block deal

Option 2: IPO with lock-up

- 1 Sell shares via pre-IPO / secondary offering**
 - Sell some of the shares via Pre-IPO / Secondary offering
 - Reduce burden during the listing review
- 2 Exit by disposing of the remaining stocks**
 - Dispose of the remaining stocks by block deal after the lock-up period

M&A

Option 1: Disposal of controlling stake

- Description**
- Including management rights, there is a high possibility of a successful disposal

Option 2: Disposal of minority stake

- Description**
- SIs wanting foreign networks often participate in minority M&As
 - Investors who want to verify the target's competitiveness sometimes have interest

Potential buyers

Company	AUM/Cash ⁽¹⁾	Note
(USDbn)		
TPG	229	Invested in Airbnb, A&O Hostels as portfolios
BOOKING HOLDINGS	12.1	Expanded business by diverse M&As

III. Investment Highlights

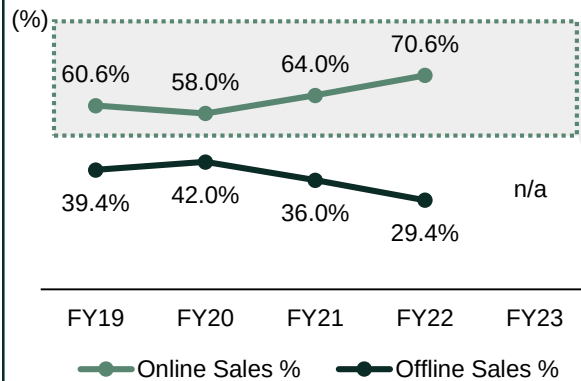
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Direct Beneficiary of Favorable Industry Dynamics

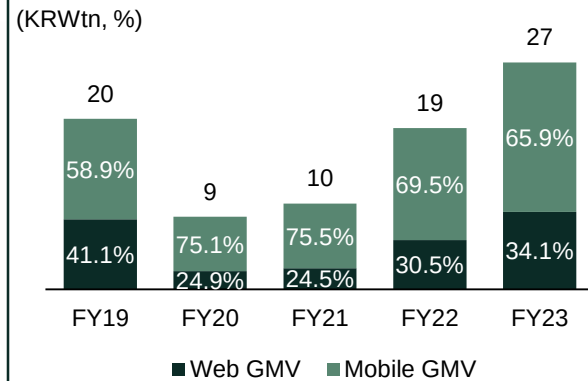
Online, especially mobile penetration rate is increasing throughout the domestic travel industry; thus OTAs are benefiting from the industry dynamics, while traditional TAs are suffering

Increasing online and mobile use in domestic travel industry

Online/offline sales % in travel & leisure industry

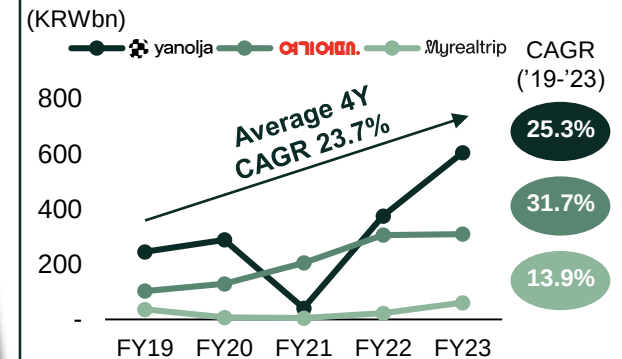


Web/mobile GMV⁽¹⁾ % in online travel & leisure industry



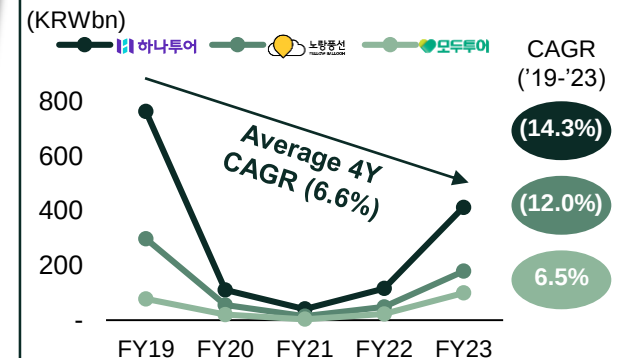
Growth of OTAs and traditional TAs

OTAs' 5Y revenue trajectory



VS

Traditional TAs' 5Y revenue trajectory



Key drivers



Increase of mobile use

- As the use of mobile devices increased, travel bookings have also shifted to mobile apps



Self-guided tour trend

- Increased access to information allowed self-guided tour to trend over package tour
- OTAs provide products that consumers can freely choose and combine



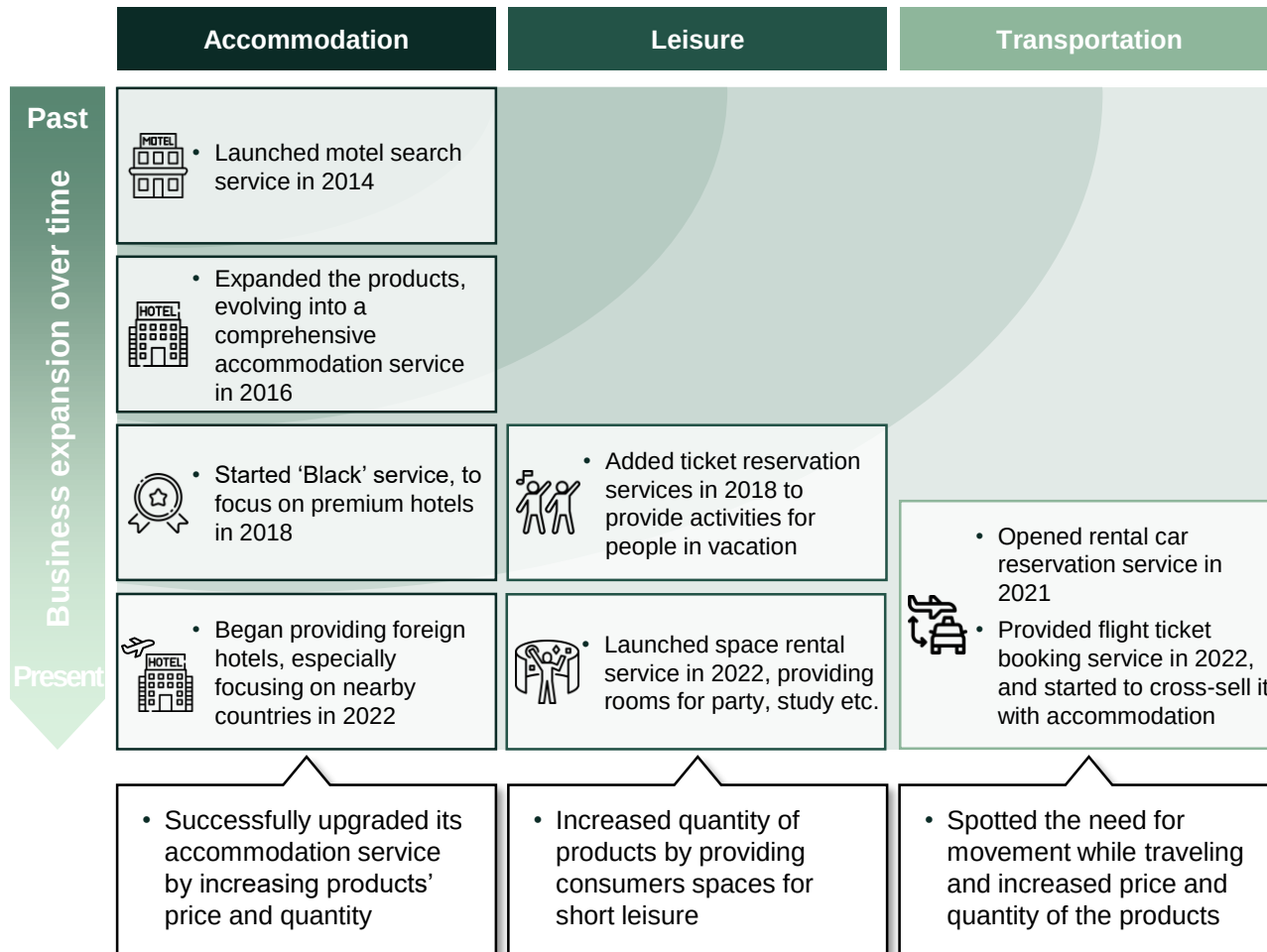
Expansion of domestic & global OTAs

- Domestic OTAs have actively expanded their service
- Global OTAs have entered the domestic market

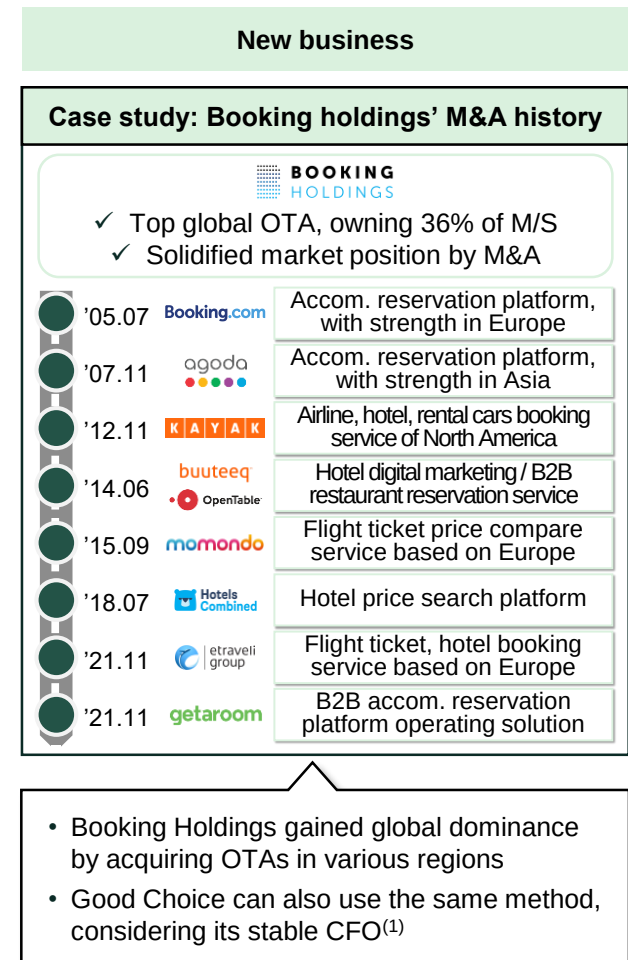
Multiple Drivers and Opportunities for Robust Growth

Good Choice has been successfully expanding its business area by spotting the needs while traveling; the company also can expand their business by inorganic growth initiatives

Organic growth



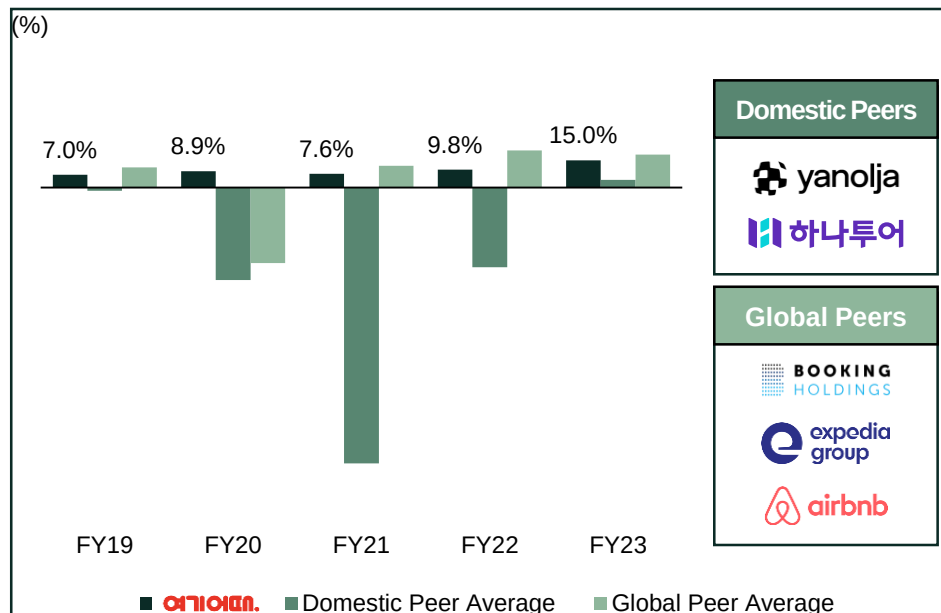
Inorganic growth



Compelling Financial Profile

Good Choice has demonstrated strong financial performance with high margin and strong cash flow profile, based on its solid market position

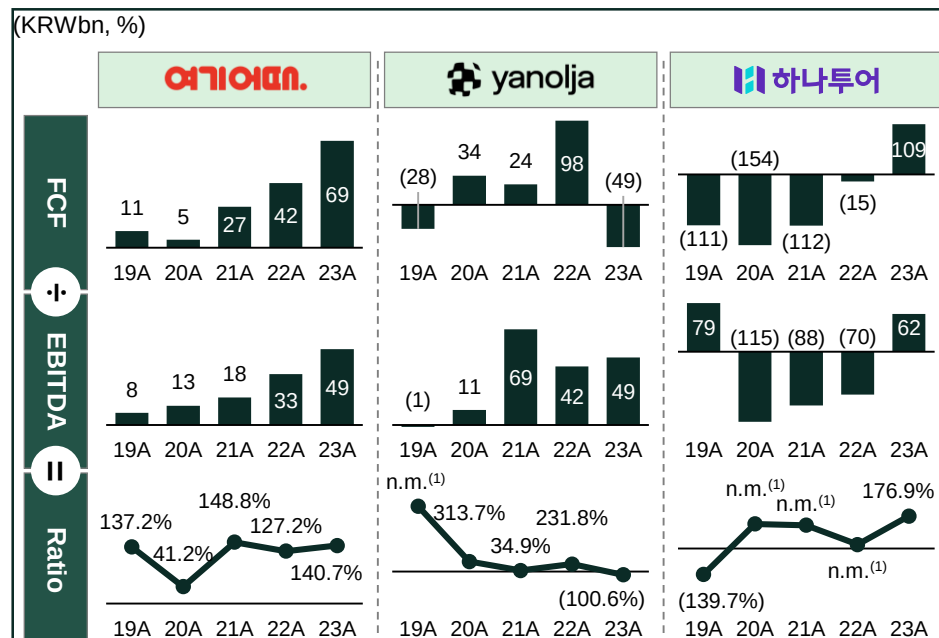
Operating profit margin (OPM) comparison



Notes

- Rather than pursuing excessive growth, Good Choice strengthened its position as a domestic travel platform
- While domestic competitors source overseas accommodation via other platforms, the company reduced costs by directly contracting with them
- Considering that major global OTAs are benefiting from economies of scale, Good Choice's OPM is at a globally top level

FCF conversion comparison



Notes

- While competitors show unstable FCF and EBITDA, Good Choice has consistently demonstrated consistent FCF and EBITDA for the last 5 years
- Good Choice demonstrated high FCF conversion ratio by successfully expanding its revenue yet managing costs efficiently
- Due to its cash generation ability, the company could self-finance most of its expansion



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